

were reduced by the amount a coupon program costs, the price of a box of cereal would decrease by about two-thirds of a cent, hardly the bargain sale we couponers would be looking for to replace our coupon savings. He pointed out that couponing could actually be used to increase the effectiveness of other forms of communications and promotions, and could influence consumers to purchase new products.

Critics of coupons today sound a lot like the foes of trading stamps in the 1950s. An October 1957 *New York Times* article labeled trading stamps both a boon and a bane to retail merchants. Safeway chain called the trading stamp industry “a shell game to distract the consumer from the fact that she is paying higher prices,” citing research done by the University of New Mexico Bureau of Business Research that discovered most stores had to raise prices about 4 percent to cover the costs of a stamp plan.

A 1964 study done by two University of Agricultural Economics professors concurred. After studying the matter for almost a year, they concluded that trading stamps added to the cost of a grocery bill to the tune of a whopping (back then) 67 cents a week for the average family.

Grand Union President Lansing had a simple explanation for the popularity of trading stamps in a 1955 *Time* magazine report. “Getting something for nothing and the squirrel instinct—some people even save string.” Yep, that pretty much sums up the whole appeal of both trading stamps and coupons—“Some people even save string.”

Even as far back as 1916, the United States Supreme Court saw a danger to trading stamps, calling them “an appeal to stupidity.” They gave states the authority to make them illegal. They could, but would they dare to?